

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
February 2025	PROCESS AND OBJECTIVE		Nicolas Garcia Paura	Updates on outdated information. Team rooms references, old links and references to old updates in the process.
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

Table of Contents

PROCESS AND OBJECTIVE	1
PROCESS AND OBJECTIVE	3
PLANNING: Audit Program Risk Alignment.....	4
PLANNING: Data Analysis.....	5
PLANNING: Reference Material	7
PLANNING: Fraud Template.....	8
CONTROL ASSESSMENT QUESTIONS	9
Key Control Question: 1. Balance Sheet Account Reconciliations.....	9
Primary Test: Account Reconciliation Performance (BS001.P)	10
Primary Test: Account Reconciliation Content (BS002.P).....	11
Key Control Question: 2. Process Integrity	12
Primary Test: Separation of Duties (PI001.P).....	13
Primary Test: Manual Ledger Entry Controls (PI002.P).....	14
Primary Test: Miscodes/Errors (PI003.P)	15
Primary Test: Spreadsheets (PI004.P).....	16
Key Control Question: 3. Accounting - Client Financing	18
Primary Test: Classification and Recording of Leases (AC001.P)	19
Primary Test: Residual Values (AC002.P)	20
Primary Test: Asset Recording (AC003.P)	21
Key Control Question: 4. Revenue and Depreciation Cost Recognition - Client Financing	22
Primary Test: Revenue and Depreciation Cost Recognition (RC001.P)	23
Key Control Question: 5. Balance Sheet Analysis	26
Primary Test: Trend Account Analysis (AA001.P).....	27
Key Control Question: 6. Revenue and Cost Analysis	28
Primary Test: Revenue Recognition (RC001.P)	29

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

PROCESS AND OBJECTIVE

Client Financing

The client financing accounting process encompasses the posting of financial transactions from auxiliary or subsidiary ledgers to the general ledger accounts and the creation of accounting transactions based on internal ledger tables (e.g., periodization entries).

For purposes of internal and external reporting, operating decisions, and asset accountability, it is essential that these transactions are executed in conformity with generally accepted accounting principles (GAAP) and within a sound system of internal controls.

Client financing is the process associated with providing term lease, loan and IPP agreements for goods and services to customers requesting IBM financing. Components of the agreements must be separately identified and classified as either leases or loans. Classification as a lease applies to hardware for which IBM retains title. Installment payment agreements and loan agreements relating to the financing of software, maintenance and termination charges are classified and accounted for as loans. Leases are further classified as either capital or operating leases. Lease classification as either capital or operating is determined by conducting tests established by accounting standards.

The client financing process begins when a proposal is created for the customer and concludes when the terms and conditions of the agreement have been satisfied or the agreement is terminated. There can be "mid-term" activities such as extensions, upgrades or purchase, and "end-of-initial lease" options, for example; renewals, continuations, purchase or conclude (return). In addition, there can also be "retail lease (or Sales and Lease Back, SLB)" activity which is a new lease for used equipment. The process includes the preparation of a contract for the customer, credit approval, and acceptance of the contract by both the customer and IBM, classification, and accounting for the lease agreement, start of the agreement, billing, collection of accounts receivable, the exercising of any "mid-term" options, and compliance with all the terms and conditions of the contract.

Commercial Financing

The commercial financing accounting process encompasses the posting of financial transactions from auxiliary or subsidiary ledgers to the general ledger accounts and the creation of accounting transactions based on internal ledger tables (e.g., periodization entries).

For purposes of internal and external reporting, operating decisions, and asset accountability, it is essential that these transactions are executed in conformity with generally accepted accounting principles (GAAP) and within a sound system of internal controls.

The global commercial financing process starts when a request for a credit line to finance IBM information technology equipment is received from a business partner. Requested line of credit, also known as working capital, is collateralized mainly with dealer inventory and accounts receivable. The process also includes supplier selection, order approval, and payment to suppliers for dealer purchases. The process ends with the dealer repaying the amount financed plus interest due. Suppliers may also pay interest to subsidize the amount of interest paid by the Dealer. Essential to the process is the ongoing monitoring of dealer credit worthiness, credit lines, and outstanding accounts receivable.

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

PLANNING: Audit Program Risk Alignment

IBM Financing Accounting

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Contract Review	High	Revenue and Depreciation Cost Recognition	RC001.P
Spreadsheets	High	Process Integrity	PI004.P
Ledger Entries; Accruals and Deferrals	High	Process Integrity	PI002.P
Lease Classification	Medium	Accounting	AC001.P
Account Reconciliations	Medium	Balance Sheet Account Reconciliations	BS001.P, BS002.P
Access Management / Separation of Duties / Data Protection	Low	Application and Data Access Authorization (Key Control Question 2, Access Management - IT Enterprise Applications Program 43-10-00) Data Privacy (Key Control Question 4, Data Integrity - IT Enterprise Applications Program 43-10-00)	AM001.P DI004.P
Revenue and Cost	Low	Revenue and Depreciation Cost Recognition	RC001.P
Receivable Purchasing and Inventory Financing	Low	Revenue and Depreciation Cost Recognition	RC001.P

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Lease classification overrides (7D test) - Client Financing only	Obtain a listing of all contracts inception during the audit period where the classification of lease was overridden. Assess if the list raises a concern in terms of the volume of contracts that had to be overridden.	Incorrect lease classification	- Incorrect revenue recognition - Incorrect asset classification
Contract reviewed by Accounting, Contracts with non-standard terms and conditions and contracts with standard terms and conditions but are above the clip level requirements of Accounting - Client Financing only	Obtain a listing of all contracts inception during the audit period both for standard and non-standard including a data/column on Total Amount Financed. Request for a listing of all contracts submitted to Accounting for Contract Review. Request for a listing of all contracts reviewed by Accounting. Compare the three universes in terms of completeness depending on the clip levels defined by Accounting for contracts that require Accounting review.	Lease classification inaccuracies	- Incorrect revenue recognition - Incorrect asset classification

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Balance sheet reconciliations - Request a list of all balance sheet accounts reconciled in and out of Blackline - Request Blackline access if applicable	- Perform analysis based on content variance, aging variance, and expected account balances - Same reconciliation from month to month for trend analysis - Unresolved and large aged variances - Large swings from month to month - Zero variances with significant content balances	- Expected account balances are not supported by valid back-up documentation - Variance items are not properly aged (month to month) - Same reoccurring entries throughout the months for the year	- Unidentified activity could be occurring in accounts - Variance items not aged appropriately could lead to inappropriate reporting - Lack of sufficient documentation to explain and resolve variances could lead to financial misstatements
Manual ledger entries	Listing of all manual journal entries processed during the audit period	Ledger entries not correctly recorded	Incorrect recording of journal entries
IBM Box Folders	Request Business Intelligence and Analytics team to perform a scan of the IBM Box folders.	Open Box folders with exposed IBM confidential information.	Data exposure

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

PLANNING: Reference Material

Accounting Practices

Accounting Practices can be found at the following web site:

<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-practices-interpretations>

AP A/R - Accounts Receivable, Contract Assets and Allowance for Doubtful Accounts

[AP A/R SALE](#) - Transfer of Receivables to Unrelated Third Parties

AP CECL – Accounting for Current Expected Credit Loss

AP LESSOR - Accounting for Leases - IBM as Lessor

AP REV - Revenue Recognition

INT REV 1 - Interpretation of AP REV, Accounting for Purchases of Customer Owned Equipment

INT REV 2 - Interpretation of AP REV, Revenue Recognition on Deals with Extended Payment Terms

INT REV 9 - Interpretation of AP REV, Accounting for Variable Capacity Arrangements

INT REV 13 - Interpretation of AP REV, Collectability

Corporate Instructions and Guidelines

Corporate Instructions can be found at the following web site:

<https://w3.ibm.com/ibm/corporate-documents/fin>

FIN101: Control of Disbursements

FIN151: Application Systems Control and Auditability (ASCA)

FIN166: Risk e valuation - Corporate Directive Deviation

FIN 82: Management Self-Assessment of Controls

FIN183: Separation of Duties

Websites

IBM Financing

<https://w3.ibm.com/w3publisher/igf>

IBM Financing Policies and Guidelines

<https://w3.ibm.com/w3publisher/igf-global-policies-guidelines/igf-global-policies-guidelines>

IBM FINANCING ACCOUNTING
AUDIT PROGRAM #10-20-00

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Authorization, Recording, Custody, and Reconciliation roles	Separation of Duties Assessment	Review SOD Assessment to validate: • The end-to-end process is reviewed annually by management. • Assessments are kept current and are updated when organization, staffing assignments, process or system changes occur that significantly impact the SOD assessment. • The approach to separating duties, whether by process design, system controls, organizational structure, or other means is established and maintained on an on-going basis. • Identified conflicts are assessed for SOD risk and mitigating controls are implemented effectively to separate conflicting tasks.
Falsifying Financial Statements	Detailed review of financial metrics with linkage between underlying cause and effect Key Controls Over Financial Reporting	• Review financial metrics for anomalies. • Select a sample of journal entries and contracts to ensure the ledger should be adjusted to represent the reconciled value of physical goods on hand at the correct cost based on consistent application of costing methodology. • Select a sample of key accounts and review the reconciliations and their content, backup, and necessary approvals.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Balance Sheet Account Reconciliations

Objective:

Are all balance sheet accounts reconciled per the approved frequency (i.e., monthly, quarterly, annually, etc.) with valid supporting documentation and the appropriate management's review and approval?

Risk/Exposure:

Reconciliations performed correctly and on time are the primary control to identify any differences between the general ledger and the systems which feed it. Failure to perform reconciliations consistently indicates a lack of management focus on essential financial controls and could lead to a misstatement of the company's financial position.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Balance Sheet Account Reconciliations

Primary Test: Account Reconciliation Performance (BS001.P)

Objective:

To ensure that account reconciliations are performed on a regular basis; and that reconciliation activity is supported by a management system which ensures control and performance of reconciliations for all accounts.

Approach:

Request the ledger accounts that this audit unit owns and reconciles.

Ensure that the account group were valid (division, major, minor or division, major, minor, ledger reporting unit (LERU)) and the description of the reconciliations were current.

Ensure that all reserves/provisions recorded for reconciling variances and unreconciled accounts were calculated accurately and booked timely.

Reconciliations have to be performed for all balance sheet accounts that are loaded to Blackline and do not auto-certify per the Blackline criteria. If an AIW-only posting is made to a ledger account that has a zero balance with no other current month activity, no hard copy reconciliation is required to be prepared for that particular month. The review and approval of the posting as part of the regular posting process is sufficient for documenting the validity of the activity. If the AIW-only posting is then ledgerized the next month, the activity will flow naturally to Blackline and will require a reconciliation per the standards set forth in the guidance.

Ensure that selected reconciliations were supported with sufficient back up documentation and proper approvals. In the selected samples, make sure the entries or the activities recorded in the reconciliations were classified in the appropriate categories (content/variance aging), tracked and aged until they were cleared. When the content variance items exceeded the expected clearing date, they should be reclassified to aging variance and should be taking action of when applicable. For any aging variance items, action plans should be put in place and tracked to make sure they will be cleared and prioritized.

If there were any items in the reconciliations that could not be supported or identified, they should be called out as unreconciled items and should be reported properly and timely to the management. If there were any items that were written off, review the justification and management approvals.

References

See Accounting Instructions: <https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-instructions>

AI-CTRL 12-005 Standard for Reconciliation of Balance Sheet Accounts

AI-CTRL 14-003 Accounting Write Off Guidance

AI-CTRL 12-007 CHW Aged Activity/ Unreconciled Accounts

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Balance Sheet Account Reconciliations

Primary Test: Account Reconciliation Content (BS002.P)

Objective:

To ensure that account balances are accurately reconciled with supporting analyses and documentation.

Approach:

Select a sample of asset and liability account reconciliations in order to test the effectiveness of the reconciled activities.

Sample selection should be supported by analysis of trends in accounts balances, including:

- Unusual trend
- Significant balance changes - big deltas
- High volume accounts, level of amounts
- Unexpected credits/debits
- New/closed balances
- Account balance contradictory to account type
- Non-flat trends for capital accounts
- Sensitive accounts (write-offs, accruals, etc.)

Review the reconciliations and their content and determine the following:

Is the period (accounting month and year) being reconciled stated on the balance sheet reconciliation?

Was the account reconciliation prepared on a timely basis? If the reconciliation is not required on a monthly basis, make sure the guidelines are adhered to for quarterly and annual reconciliations.

Was the reconciliation completed by the last day of the calendar month following the accounting period requiring a reconciliation (for example, no later than April 30 for the March accounting period)?

Was there any exception if any of the reconciliations were not performed or approved by the end of the calendar month?

Was the approver properly authorized and delegated?

Was the expected account balance verified with independent source document?

Was the current ledger balance tie to the sub-ledger accounts or sub-feeders?

Were these variances being aged properly in the correct aging categories?

Were aged variances over 180 days properly reported in the quarterly CHQ Aged Activity Scorecard?

Were these variances being aged properly in the correct aging categories?

Was there evidence of account manipulation in the reconciling items and adjustments? e.g., Journal entries being processed to alter the entry date of the reconciling items to improve measurement results? Journal entries being processed to write-off the reconciling items without the proper level of management approval?

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Process Integrity

Objective:

Is there adequate separation of duties between the individuals reconciling accounts; those preparing and approving journal entries; those updating ledger processing control tables; and performing activities in the processes which feed the accounts.

Are there adequate controls over journal entries, feeder system input and miscode corrections and ledger processing table update?

Risk/Exposure:

Failure to maintain adequate separation of duties could allow individuals to manipulate accounting records and mask any irregularities from other systems which feed the ledger.

Ineffective journal entry control may enable employees to conceal irregular entries or clear reconciling items from account analysis by writing them off or otherwise disguising the real nature of the activity.

Lack of control over feeder system input, miscode correction and ledger processing control tables can allow reported accounts to become out of line with supporting ledgers.

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Process Integrity

Primary Test: Separation of Duties (PI001.P)

Objective:

Ensure that a separation of duties assessment is performed and approved by the process owner, Center Leader, or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated, or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls in place.

Approach:

Request an assessment of tasks executed by roles within Accounting. If no assessment exists, determine whether management has alternative methods of identifying potential separation of duties conflicts.

Review the SOD Assessment to validate the following:

- Was the end-to-end process reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner, Center Leader, or delegate?
- Were tasks assessed to identify conflicts in the SOD Matrix and were identified conflicts explained?
- If secondary controls are needed, were they identified and would they mitigate the conflict effectively?
- Were conflict mitigation steps executed as outlined on the SOD assessment?

Review the responsibilities assigned in the areas of accounting for possible separation of duties exposures. Determine if:

- A SOD analysis exists for each role to identify any potential conflicts and implemented secondary controls are appropriate.
- Revised departmental process and revised departmental mission are timely reflected in the SOD analysis.
- The requirement is for the SOD to be updated annually.
- Assess if any role changes that aren't included in the SOD, cause any conflicts.

Individuals who can perform activities which combine custody (possession or guardianship over assets), recording (creation of permanent transaction record), authorization (transaction or document approval) and verification (verification of the accuracy & completeness of transactions) are identified as potential conflicts and secondary controls are implemented to mitigate the respective exposure.

Include in the review any update authority to systems, system tables or data. No individual should have the capability to approve and enter the same journal entry. Any individual with capabilities which would allow them to circumvent preventive and detective controls in the processes should be identified and included in test samples.

References

<https://w3-03.ibm.com/ibm/documents/corpdocweb.nsf/ContentDocsByTitle/Corporate+Instruction+FIN+182>

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Process Integrity

Primary Test: Manual Ledger Entry Controls (PI002.P)

Objective:

To verify that there is a management process to ensure that only properly authorized manual entries are posted to the general ledger, and to determine whether this process is working effectively.

Approach:

Note that manual ledger entries will typically be made using journals but the auditor should ensure that all sources of manual ledger entries (e.g., feeder systems with general ledger functionality) are identified for inclusion in testing.

Select a sample of accounting journal entries to determine:

Did the journal voucher contain correct account coding, month of entry, voucher number, date prepared, the preparer's signature, and the approval authority signature?

Were the entries properly reviewed and approved by the appropriate level of management?

Were entries supported with sufficient and appropriate documentation?

Were journal vouchers processed in a timely manner?

Was the entry in accordance with the generally accepted accounting principles and IBM practices?

Were write-offs supported with business justifications and proper approvals?

Were there clear audit trails for ledger entries, including information regarding the originators and approvers of the entries?

Was there original entry to be supported for the reversal entries?

Review allocation tables to ensure that the table was setup correctly with the appropriate percentages and the accounting codes, and that the tables were updated periodically to capture the changes.

References

94-004 Preparation and Approval of Manual Ledger Entries

<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-instructions>

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Process Integrity

Primary Test: Miscodes/Errors (PI003.P)

Objective:

To determine whether there are controls in place to ensure miscodes are properly reviewed and approved for processing into the ledger. There are certain miscodes that are required to be corrected and others that are allowed to be booked to a default account.

The following miscodes must be corrected to the account they were intended to charge.

- All balance sheet and revenue miscodes; regardless of the clip
- All product or receiving country business miscodes; regardless of clip
- All remaining miscodes (account and business) over \$10K USD (at Actual rates).

Once the above three types of miscodes are corrected, the only miscodes remaining would be cost and/or expense miscode under \$10K. These miscodes are to be corrected to the default account major minor 920 9999.

The activity is corrected to the 920-9999 default account is to remain there unless the miscode is related to balance sh activity or notification is received requesting corrective action due to a material miscode having been corrected to the default account in error. It is not acceptable to make entries out of the default account for any other reason.

The clip level should be applied at Actual rates using the previous month currency exchange rate as the current month exchange rate is not known until critical workdays. It is expected that Accountants should be correcting miscodes throughout the month and not be waiting until the end of the close to correct all miscodes. The default account is only to be used by the Accounting organization. Individuals outside of Accounting who have miscode correction responsibilities are NOT to use the default account.

There are rare situations where use of a clip level is prohibited for legal and contractual reasons with the US federal government. These organizations (e.g., GBS Federal and IBM Research) therefore should investigate and correct all miscodes in order to stay in compliance with contractual requirements. The miscodes resulting from these areas; however, will still be included in any communication with feeders in order to continue to drive efficiencies.

Approach:

Are there any miscodes that are sitting in the default account that should have been cleared? If so, is there a business justification as to why they have not been cleared?

References

AI CTRL 14-002 Financial Data Quality (Miscodes)

<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-instructions>

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Process Integrity

Primary Test: Spreadsheets (PI004.P)

Objective:

To verify that there is a process in place to ensure that spreadsheets were reviewed and approved by management, and the results of calculations were reflected correctly in the ledger. The intent is to provide a framework to ensure there are appropriate controls within the spreadsheet to prevent errors and the spreadsheet is working effectively.

Approach:

Note: Test approach is aimed to test spreadsheets included in the process owner's spreadsheet inventory potentially requiring a Management Checklist or ASCA certification.

Request the spreadsheet inventory from the process owner. If the process owner does not have a spreadsheet inventory understand why one is not required or was not performed.

Impact to the sub-process should be considered when determining which spreadsheets to include in the sample selection.

Sampled Spreadsheets

Select a sample of spreadsheets to determine:

- Has the spreadsheet been reviewed in the last 365 days to ensure proper controls are in place? If applicable, does the response align with question #1 on the Management Checklist?
- Is the spreadsheet working as intended? Check the following:
 - Validation key input is for correct period
 - Review/sample key calculations
 - Review check total/reconciliation
 - Review tie out to source documentation

ASCA Certification

If the sampled spreadsheet is ASCA certified, use the below question:

- If the spreadsheet requires ASCA certification, is there a valid ASCA certification in place? Assess whether the developer and user are the same person? If they are, then review that the documented secondary controls in place are appropriate and being executed as designed as to mitigate SOD risk.

Management Checklist

If the sampled spreadsheet has a management checklist, review the spreadsheet to confirm that:

- Review management checklist to ensure that it is approved (by manager signature and date).
- Are the spreadsheet controls and logic documented? Does the response align with question #2 on the management checklist?
- Is there a documented procedure on how the spreadsheet is used? Does the response align with question #3 on the management checklist?

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Process Integrity

Primary Test: Spreadsheets (PI004.P)

(Continued)

- Is there an identifier in the spreadsheet that is updated each time the spreadsheet is executed to reduce the risk of using data or calculations for incorrect periods? Is this documented in the procedures? Does the response align with question # 6 on the management checklist?
- Is there an automated or manual check in place to confirm manual and automated financial inputs are entered into the spreadsheet correctly? Does the response align with question #4 on the management checklist?
- Are there steps in place to ensure any updates are intentional and to catch unintentional updates? Does the response align with question #10 on the management checklist?
- Is there a procedure that documents when a new control review of a spreadsheet is needed? Does the response align with question #8 on the management checklist?

References

AI-CTRL 12-012 Accounting Spreadsheet Instruction

<https://w3.ibm.com/w3publisher/accounting-policy-financial-reporting/accounting-instructions>

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Accounting - Client Financing

Objective:

Were the assets in the financing system accurately and correctly recorded in the ledger?

Risk/Exposure:

Accounting data should be presented in a consistent manner in all IBM divisions. The existence of a financing subsidiary could result in the recording of financed assets differently for local accounting or tax purposes. For example, leases are classified as either operating leases or capital leases. The audit team should understand the different treatments and the required tests in FASB 13, paragraphs 7 and 8, that determine lease classifications as either operating or capital leases. The exposures are that the incorrect classification of leases could result in the incorrect recording of revenue, disclaimers on the financial statements, disallowance of tax deductions, and impact to IBM's borrowing capabilities.

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Accounting - Client Financing

Primary Test: Classification and Recording of Leases (AC001.P)

Objective:

To determine if an effective process exists which results in the correct and accurate recording of leases.

Approach:

Understand and document the process that is used to classify and record leases as either capital or operating. Refer to Accounting Practices - Accounting for Leases for detailed lease classification criteria and requirements.

Based on the results of the process review, identify exceptions for testing for the following attributes for both IBM and non-IBM products:

Did the lease classifications apply to hardware only? If software was included in the leases, were procedures established to properly account for the software?

Note: In certain countries software can be contracted as a lease. For US GAAP reporting, it is recorded as a loan.

Were FASB 13 paragraph 7A, B, C, and D tests performed on a box by box basis for hardware?

Were procedures in place to classify leases for MES upgrades of hardware and Base Lease Extensions?

Was there a process established and executed for Accounting identification and review of contracts with non-standard terms and conditions for lease classification?

Note: For countries where ICFS is deployed, the classification of the lease between capital and operating is performed automatically within the portfolio system, based on the input loaded.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Accounting - Client Financing

Primary Test: Residual Values (AC002.P)

Objective:

To determine if an effective process exists which results in the correct and accurate initial recording, and ongoing review and adjustment of residual values.

Approach:

Understand and document the process used to correctly record and periodically review residual values.

Identify exceptions and perform the following tests. (Potential exceptions could be:)

- Residual values for like products with similar start and end dates that differ substantially.
- High, low, or negative yields for a product which could be due to incorrect recording of residual value.
- Negative residual value
- From the exceptions selected, test the following:
 - Were current residual values supported and approved?
 - Were residual values projections maintained?
 - Were residual value write downs booked as a result of the periodic residual value review process? If so, verify that proper documentation exists to support the impairment and that the proper entries were recorded for the write down.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Accounting - Client Financing

Primary Test: Asset Recording (AC003.P)

Objective:

Determine if supplier invoices for financed assets issued to the financing organization (IBM Financing) were accurately and promptly recorded in the financing system used by BSO for recording leases and billing customers for lease payments due and used by Accounting to record financed assets.

Approach:

Obtain a list of account reconciliations that match the payment of invoices to the recording of leased assets. Select accounts where reconciliations were not performed, not reviewed, or where aged items existed.

If reconciliations were not prepared monthly, determine the cause.

Review supporting documentation to the reconciliation and verify that the account was properly used.

Determine the cause for lack of management review.

Verify that the manual entries were supported and approved.

Were the reconciling items aged and tracked until resolution?

Was there evidence of any attempt to manipulate the financial results through improper accounting entries?

For mainline financing where IBM is the supplier, ensure the IBM assets were appropriately recorded under IBM Financing's ledger.

Assess the size and age of balance sheet variances.

Determine if the variances indicate any operational issues such as lack of coordination between Accounting and IBM Financing to resolve the issues.

Determine if there are actions identified to resolve the variances and if the actions are being executed within a reasonable timeframe in accordance with accounting controls guidance.

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Revenue and Depreciation Cost Recognition - Client Financing

Objective:

Is there an effective management review process to ensure that all revenue and cost is recognized in the financial statements in accordance with generally accepted accounting principles, IBM practices and instructions?

Secondary controls have been established to detect any evidence of improper practices in revenue-generating activities.

Risk/Exposure:

Inaccurate cost and revenue reporting could have a significant negative impact upon the integrity of the IBM financial statements.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Revenue and Depreciation Cost Recognition - Client Financing

Primary Test: Revenue and Depreciation Cost Recognition (RC001.P)

Objective:

To determine if an effective process exists to accurately record revenue and depreciation for the various types of leases and are in line with generally accepted accounting principles and IBM accounting practices, in the appropriate time period.

Approach:

Understand and document the process that is used to record revenue for operating and capital leases. Operating leases should have the correct amount of depreciation recorded each month, and capital leases should be recorded so that the correct interest income amount is recognized each month.

Identify and select exceptions and perform the following tests. Exceptions may be identified using the following criteria:

- Unusually high, low, or negative yield or gross profit margins within a particular product set lease or loan portfolio.
- Negative cost or net investment balances for a particular machine.
- Manual journal entries.
- Control reports.
- Base lease extensions.
- Mid lease buyouts.
- Continuations or renewals.

From the exceptions selected, test the following:

Confirm methodology and ensure revenue for capital leases and loans is recorded in accordance with accounting practices. (Accounting Practices - Accounting for Leases) For example, was total revenue calculated based on the present value of the minimum lease payments and the present value of the gross residual value? Did amortization of unearned income begin at the inception of the lease, typically the installation date? (Note: income is not amortized until the lease or loan is recorded in the applicable subledger system. No income is accrued prior to this date). Was unearned income recorded on the balance sheet at inception and amortized to finance income over the lease term to produce constant periodic rate of return on the net investment in the lease based on the interest rate implicit in the lease?

Confirm methodology and ensure revenue for operating leases is recorded in accordance with accounting practices. (Accounting Practices - Accounting for Leases) For example, did rental revenue commence at the inception of the lease? Was rental revenue recorded on a straight-line basis over the term of the lease? (Note: income is not amortized until the operating lease is recorded in the applicable subledger system. No income is accrued prior to this date).

- Are assets subject to operating lease depreciated on a straight-line basis over the term, down to the accounting residual value in the lease?
- Did the depreciation commence promptly?
- Was the depreciation rate accurate?
- For the contract review assessment, include all contracts that are submitted to accounting for review. Contracts should include 100% of the TCV signed and 100% of the revenue recognized during the audit period regardless of who reviews the contracts for. The universe should include all contract modifications and demonstrate 100% of the contracts are captured. Also, identify which contracts contain a significant financing component and which contain OEM activity. Have the process owners demonstrate they have provided 100% of the contract universe.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Revenue and Depreciation Cost Recognition - Client Financing

Primary Test: Revenue and Depreciation Cost Recognition (RC001.P)

(Continued)

- Was Accounting notified of any non-standard terms and conditions? For contracts with non-standard terms and conditions that require Accounting review, upstream organization submits the contracts to Accounting for review in a timely manner?
- Was revenue recognized in accordance with applicable accounting instructions and practices? Note: Sales-type lease revenue is earned upon shipment of the product to the customer. Rental and operating lease revenue is earned over the term of the rental or lease on a straight-line basis, regardless of payment terms. Please refer to Accounting Practices for further lease revenue recognition guidance.
- Were the correct depreciation costs identified and matched to the corresponding revenue?
- Was the cost to revenue matching completed monthly if applicable?
- Was the revenue recognized in the correct accounting period?
- Were the manual revenue and cost accounting deferral entries accurate, timely and approved? Did the entries correspond with the prices and payment terms established in the contract? (Note: income is not amortized until the lease or loan is recorded in the applicable subledger system. No income is accrued prior to this date).
- Were non-standard payment streams (steps and holidays) treated correctly and spread over the entire lease period?
- Was the asset added to the financing system within a reasonable period of time after the contract started, or the equipment installed?
- Was equipment promptly removed from the financing system when the asset was no longer owned by IBM?
- Were accruals made to adjust revenue or cost (e.g., deferrals due to non-accrual accounting for impaired assets), and were they consistent from period to period, reviewed, approved and reversed? If software is allowed on leases, have procedures been set up and approved to handle it (for WT Accounting purposes, financing of software is always recorded as a loan, not as a lease).
- If problems were identified in adding leased assets to the system, perform test on settling financed invoices.
- Review the relative size and age of balance sheet variances. Validate if this indicates other operational issues such as lack of communication or collaboration between Accounting and IBM Financing to resolve issues. Obtain this information from Accounting.
- Concessions (write-offs/expenses), rather than revenue reversals (or reductions), were recorded for instances in which IBM met its contractual obligation to the customer but decided that a credit to the customer was required in the interest of customer relations.

Revenue and Cost Accruals

- Perform a process control interview with the appropriate accounting management and verify the process to record revenue and cost accruals.
- Select a sample of revenue and cost accruals from the ledger. Focus on quarter-end, year-end activity, and high dollar transactions.
Note: Capital leases and loans are accounted for under the effective interest method. As the customer pays off the receivable, interest income is recognized, and IBM Financing's cost of financing is the interest paid on debt used to fund assets.
- Obtain copies of income and expense report schedules and supporting sub-schedules to review monthly accruals.
- Select a sample of revenue and cost accruals from the ledger. Focus on quarter-end, year-end activity, high dollar transactions and manual entries.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Revenue and Depreciation Cost Recognition - Client Financing

Primary Test: Revenue and Depreciation Cost Recognition (RC001.P)

(Continued)

- Are the revenue and cost accruals supported by analysis showing how the accrual levels were determined?
- Does the accrual method clearly show that only relevant transactions for the period have been included and that none are taken for the following period? Is there a management system in place for validating re-accruals processed in the following period?
- Where revenue accruals are recorded, is there a control process which ensures that the accrual is reversed when the actual revenue is recorded, and tracks the length of time that the accrual remains on the books? Note: revenue is not accrued on client financing contracts that are not incepted into the system (e.g., ICFS, etc.)
- Is the accrual methodology consistent with the terms of the contract? Note: Ensure that billing information which generates the ledger entries corresponds to the terms in the contract.
- Is there any evidence that accrual adjustments are being made without appropriate management approval?
- Were the accruals based on reasonable and documented valuations?
- Is a process in place to stop revenue accrual for client financing arrangements for which collection is at risk (i.e., Place on non-accrual status)? Conversely, is a process in place to restart revenue accruals for client financing arrangement for which collection is no longer at risk?
- Review supporting documentation used to place or remove accounts from non-accrual status.
- Validate that the non-accrual designation was based upon reasonable and consistent criteria.

NOTE: Special attention should be given to revenue accruals relating to business partner activities.

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Balance Sheet Analysis

Objective:

Ensure there is a control process at unit level to review trends or fluctuations in Balance Sheet accounts by reviewing actual performance against prior month actual performance.

Ensure all Balance Sheet have a designated owner with responsibility for reviewing performance analysis.

Risk/Exposure:

Any account for which ownership has not been formally assigned and accepted may not be reviewed with the necessary frequency and diligence.

In addition, failure to review trends and performance against plan could allow account(s) to contain erroneous or improper information, thereby distorting results and/or concealing irregularities.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Balance Sheet Analysis

Primary Test: Trend Account Analysis (AA001.P)

Objective:

Investigate material trends or fluctuations in Balance Sheet accounts and compare with records of reviews to ensure management awareness and focus on the integrity of the financial data.

Approach:

The auditor should review the trend analysis work performed as part of the audit planning activity and supplement that analysis with the following tests:

- Ensure all accounts have been allocated an owner with responsibility for performance of analysis.
- Review significant account movements and ensure that the trends are identified, reviewed, and actioned.
- Select a judgmental sample of Balance Sheet accounts for review, either by reviewing month end reporting for successive months (for a three-month period) or by use of data analysis techniques. The sample selection should include accounts with the following characteristics:
 - Unusual trends
 - High volume accounts, level of amounts
 - Peaks, static volumes
 - Unexpected credits/debits, including account balance contradictory to account type
 - New/closed balances
 - Sensitive accounts (write-offs; accruals; 'miscellaneous' and suspense accounts)
- Compare the sample with management reporting to confirm the adequacy of management review.

IBM FINANCING ACCOUNTING AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Analysis

Objective:

Is there an effective management review process to ensure that all revenue is recognized in the financial statements in accordance with generally accepted accounting principles, IBM practices and instructions?

Secondary controls have been established to detect any evidence of improper practices in revenue-generating activities.

Risk/Exposure:

Inaccurate cost and revenue reporting could have a significant negative impact upon the integrity of the IBM financial statements.

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Analysis

Primary Test: Revenue Recognition (RC001.P)

Objective:

Verify revenue and costs are recognized accurately in accordance with generally accepted accounting principles and IBM accounting practices and instructions, in the appropriate period. In addition, determine if an effective process exists to accurately record revenue and interest income for commercial financing activity.

Approach:

It is key that the revenue recognition rules relevant to the contract and products, or services being reviewed are understood. See the references section of this document for applicable accounting practices and instructions.

Perform a process control interview with the appropriate accounting management and verify the current revenue recognition methodology.

Verify that there is a process to report revenue that was not properly recognized to the appropriate HQ Accounting organization and that management has visibility to this activity. Determine if there is evidence that root cause analysis is performed and that corrective actions are taken as appropriate.

Verify revenue was recognized in accordance with applicable accounting instructions and practices (see Accounting Practices – Accounting for Leases).

Concessions (write-offs/expenses), rather than revenue reversals (or reductions), were recorded for instances in which IBM met its contractual obligation to the customer, but decided that a credit to the customer was required in the interest of customer relations.

Review monthly revenue ledger entries to confirm methodology and ensure revenue is recorded in accordance with accounting practices. Perform an analytical review of revenue journal entries, review control reports, ledger reconciliations, manual entries, reclassifications, and select a sample of journal entries to review in greater detail. Focus on quarter-end, year-end activity, high-dollar transactions, special contracts, and exceptions.

Test for the following:

Inventory Financing

- Verify unearned income entry booked.
- Review supporting documentation for manual entries to reverse out the prior months unearned income. Were entries accurate, timely, and approved?

A/R Financing

- Review the tie-out of accrued interest by business partner. Was it accurate, timely, and approved?
- Deferred fees:
 - Review documentation to support the deferral and the amortization of fees. Was it accurate, timely, and approved?

Syndicated Loans

- Review the tie-out of the Ledger to the system used to generate revenue entries. Was it completed accurately, timely, and approved by management?
- Verify unearned fees amortization.
- Review supporting documentation for all manual participation entries. Were entries accurate, timely, and approved?

IBM FINANCING ACCOUNTING

AUDIT PROGRAM #10-20-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Revenue and Cost Analysis

Primary Test: Revenue Recognition (RC001.P)

(Continued)

Non-Accruals

- Is a process in place to stop revenue accruals for commercial financing arrangements for which collection is at risk (i.e., place on non-accrual status)? If so, review the list of all accounts placed on non-accrual status and validate that those accounts were appropriately accounted for. Conversely, is a process in place to restart revenue accruals for commercial financing arrangement for which collection is no longer at risk? Review supporting documentation used to place or remove accounts from non-accrual status.
- Validate that the non-accrual designation was based upon reasonable and consistent criteria.

Interest Expense*

- Review supporting documentation for average monthly commercial paper rate.
- Review supporting documentation for calculation of interest expense entry. Were entries accurate, timely, and approved?

*Note: Interest Expense does not affect book reporting. Interest expense is calculated at the IBM Financing level and allocated to both Client and Commercial Financing.